APRIL AND MAY ARE TRADITIONALLY the cruellest months for Bhiwandi, the sprawling textile town in Thane near Mumbai. Home to nearly 50,000 factories—largely traditional power loom units that convert yarn into fabric—the town witnesses a predictable workforce exodus every summer as temperatures climb past 40 degrees Celsius and migrant workers head back to their home states. Most of Bhiwandi's 1.5-2 million workers come from Bihar and Uttar Pradesh. This year, however, nearly half of them began leaving as early as March, throwing production completely out of gear.

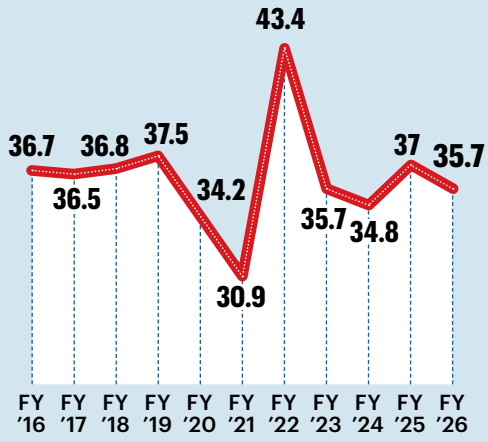
The trigger was the war in West Asia. The exodus, says Uchit Shah, director of Optimum Silk Mills, began after cooking gas shortages hit migrant settlements in the region. At the same time, exports ground to a halt. "I had goods worth over Rs 3 crore lying since insurers were not willing to cover shipments that went to or via the Middle East," says Shah, whose company exports largely to West Asia and Africa. With consignments stuck and orders disrupted, he was forced to offload part of his inventory in the domestic market at steep discounts.

The disruptions witnessed in Bhiwandi were mirrored in Surat, another major textile hub. During the four weeks of conflict before the ceasefire, Surat's 25,000 textile units are estimated to have suffered losses of nearly Rs 5,000 crore. That was because the conflict triggered a spike in crude oil prices, directly impacting the production of man-made fibres or MMF (synthetics derived from crude oil and cellulosic fibres made from wood pulp), transportation and logistics. Polyester and nylon yarn prices rose by 50 per cent or roughly Rs 10-40 per kg, while grey fabric became costlier by Rs 3-5 per metre. Dyes and chemicals surged by as much as 60 per cent, industrial coal prices rose 35 per cent, and freight costs increased nearly 400 per cent. Transport charges climbed from Rs 400 to more than Rs 600 per truckload, severely squeezing already thin margins. "Our products became uncompetitive at such costs. We had to curtail production. Every day of war added Rs 100 crore losses," says Ashok Jirawala, president of the Federation of Gujarat Weavers Welfare Association.

A DECADE IN LIMBO

Except for a temporary uptick in FY22 after the COVID dip, textile exports have remained stuck in the $35-$37 bn range in the past decade

India's exports of textiles & apparels ($ bn)



Source: CITI, PIB

$13-16 bn
(₹1.2-1.5 LAKH CR.)
Apparel exports stagnated at this level for 5-6 years

85%
of exports still cotton-dependent, but global demand shifts rapidly towards MMF

Source: TIC Trade Map &CITI Analysis

The situation has eased somewhat since the ceasefire between the US, Israel and Iran allowed some movement of consignments to resume, albeit slowly. But the problems in India's textile industry did not begin with the crisis in West Asia. The Gulf conflict only aggravated an industry already under pressure from rising costs, outdated production systems, labour inefficiencies, financing constraints and an inability to compete effectively in newer segments of the global apparel market.

The paradox confronting India's textile industry is stark. Despite being a $179 billion (Rs 17 lakh crore) industry that employs nearly 45 million people and supports over 5 million MSMEs, the textile and apparel sector has been steadily losing competitiveness for years. India today possesses one of the world's largest textile ecosystems and a domestic apparel market valued at nearly $100 billion (Rs 9.5 lakh crore), growing at 7-9 per cent annually and occasionally touching double digits. Yet overall exports have been stuck at $35-37 billion (Rs 3.3-3.5 lakh crore) in the past decade. Meanwhile, apparel exports have stagnated at roughly $13-16 billion (Rs 1.2-1.5 lakh crore) for nearly five to six years. In contrast, competitors such as China, Vietnam and Bangladesh have steadily expanded their global market share.

THE COTTON TRAP

The bigger problem predates the Gulf crisis by several years. India's first big disadvantage was self-inflicted when it largely missed the global shift towards MMF. Textile exports continue to remain heavily dependent on cotton, with cotton garments accounting for nearly 85 per cent of exports. But global demand has increasingly shifted towards MMF-based apparel, which dominate categories such as sportswear, winterwear, athleisure and technical textiles. While the global cotton-to-MMF consumption ratio stands at roughly 25:75, India's domestic ratio remains almost the reverse at 60:40.

Rahul Mehta, chief mentor of the Clothing Manufacturers Association of India (CMAI), says this has significantly constrained India's export diversification. "As a result, Indian textiles remain skewed towards spring-summer wear,